CASE STUDY

Priya, Praveen and Pooja started a partnership business of buying and selling of home appliances. They have a partnership agreement. The shop is located in a prime area where there are many potential customers. The employees are trained well and motivated. The partners have good managerial skills. As a result, the customers' needs are met efficiently. The customers are happy with the after sale service too. In a very short period of time the firm gained popularity and strong customer base.

After two years, the partners decide that the business is worth more than its net assets. So, they value goodwill and want to record it in the books.

Discuss the following:

(1) Identify the factors that are affecting the valuation of goodwill in this business.

(2) Name the methods for the valuation of goodwill.

(3) Do you agree with the partners' decision of recording the goodwill in the books? If you do not agree, explain the reasons with reference to the Accounting Standards..

To explore further

A partnership firm wants to expand, but it needs two more people with managerial skills to run the business competently. Also, the business needs more finance to expand. What can be done in such a situation?

Reference

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